

THE THESIS IN ONE LINE

Best MLCC franchise, priced at 31x mid-cycle EBITDA vs an 11.6x own median

▲ BULL — why it could be worth it

- ~40% MLCC value share, ~45% AI-server [ATTRIBUTED]
- MLCC book-to-bill 1.47, record; utilization ~95% [FACT]
- FY3/27 OP guide raised to ¥430bn (+53% YoY) [FACT]
- Has not raised MLCC prices yet: next leg is pure margin [FACT/EST]
- ¥150bn buyback; net cash ~¥650bn [FACT]

▼ BEAR — why it might not

- EV/5y-mean EBITDA 31.4x vs own band 10.4-13.5x [EST]
- House PW value ¥4,140; -12% IRR to Mar-2030 [EST]
- Trailing P/E 66x vs 23x own median [EST]
- Modules segment loss-making (-¥12.9bn 1Q) [FACT]
- Consumer half of units is 'subdued' [FACT]

THE SINGLE DRIVER TO WATCH

Capacitor price: whether Murata joins the 30-50% industry hikes for 1Q27.

VALUATION

EV/5y-mean EBITDA 31.4x (band 10.4/11.6/13.5x); fwd P/E 37.8x; consensus TP ¥10,414 (+23%).

ENTRY / LEVELS

Stage in at ¥6,200 / ¥5,000 / ¥4,100 if book-to-bill stays >1.0; 20%-IRR entry ¥2,844.

WHAT WOULD FLIP THE CALL

Upgrade if trough EBITDA margin proves 5+ pts higher (re-rates band to 15-20x); short if book-to-bill <1.0 while still >20x.